

KITE AI

KITE · DEEP-DIVE RESEARCH REPORT

June 2026 · NBZ / NASIR Research

TOKEN KITE	PRICE (24H RANGE) \$0.1071-\$0.1154	MARKET CAP \$194.10M	FDV \$1.07B
ATH \$0.3212	ATH DRAWDOWN ~67%	MAX SUPPLY 10 Billion KITE	CLASSIFICATION EVM-compatible L1

Kite AI is the payments layer for the Agent Economy — a purpose-built, EVM-compatible Layer-1 blockchain designed from the ground up to give autonomous AI agents cryptographic identity, programmable permissions, and native stablecoin payment rails. Formerly known as Zettablock, Kite raised \$33M from PayPal Ventures, General Catalyst, Coinbase Ventures, and HashKey Capital and launched its KITE token via Binance Launchpool in November 2025. With 17.8 million Agent Passports issued, 1.7 billion cumulative interactions, and whitepaper contributors from PayPal and Coinbase, Kite is the most credibly positioned AI payments infrastructure project in crypto.

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PROJECT OVERVIEW

FIELD	DETAIL
Project Name	Kite AI
Token Ticker	KITE
Former Name	Zettablock — rebranded to Kite AI in late 2024/early 2025
Classification	EVM-compatible Layer-1 Blockchain — purpose-built AI payments and coordination layer
NOT built on	Kite AI IS its own sovereign L1 — NOT an app on Ethereum, Base, or Arbitrum. KITE is the native L1 token (no contract address)
Consensus	Proof-of-Stake (PoS) + Proof of Attributed Intelligence (PoAI) — ensures fair attribution for data, models, and AI agents
Headquarters	San Francisco, California, USA (confirmed via Series A press release, Sep 2, 2025)
Founded	2024 — Twitter/X account created October 2024; formerly operated as Zettablock (data infrastructure for Sui, Polygon, Chainlink, EigenLayer)
TGE	November 4, 2025 — Binance Launchpool (71st project); simultaneous listings on Binance, OKX, Coinbase, Bitget, HTX
Total Raised	\$33M — \$15M Seed (Feb 2025) + \$18M Series A (Sep 2, 2025, led by PayPal Ventures & General Catalyst)
Mainnet Status	Testnet live (Testnet Aero → Testnet Ozone); Mainnet launch pending — Phase 2 utilities deploy at mainnet
Core Products	Kite L1 blockchain · Kite Modules (AI service ecosystems) · Kite AIR (Agent Identity Resolution) · Agent Passport · Agent App Store
Key Metric	17.8M Agent Passports issued · 1.7B+ cumulative interactions · 1.01M peak daily interactions · 100+ ecosystem partners · 653K+ Discord members
Whitepaper	gokite.ai/kite-whitepaper — contributors include David Weber (Head of PyUSD, PayPal) and Uddhav Marwaha (Head of Payment, Coinbase)

KITE IS A SOVEREIGN L1 — NOT AN APPLICATION: This is a critical distinction. Unlike Based (built on Hyperliquid's HyperEVM), Fabric Protocol (built on Base), or Radiant Capital (built on Arbitrum), Kite AI is its own independent Layer-1 blockchain. KITE is the native token of this chain — not an ERC-20. The chain uses its own PoS consensus (with PoAI for AI attribution), its own validator set, and its own execution environment (KiteVM — an EVM extension). Every optimization in the Kite L1 is specifically designed for AI agent transaction patterns: sub-cent fees, sub-100ms latency via state channels, and deterministic finality for machine-to-machine micropayments.

THE ZETTABLOCK ORIGIN: Before becoming Kite AI, the founding team operated Zettablock — a real-time blockchain data infrastructure company that served decentralised networks including Sui, Polygon, Chainlink, and EigenLayer. This background is directly relevant: the team spent years building the data layer for major crypto protocols, which gave them intimate knowledge of what AI agents need to operate at scale on-chain. The pivot to Kite AI was not a rebrand from scratch — it was a natural evolution of existing infrastructure expertise toward the emerging agentic economy.

TEAM & FOUNDERS

NAME	ROLE	BACKGROUND
Chi Zhang	Co-Founder & CEO	PhD in AI / Statistics from UC Berkeley. Previously led core data products at Databricks. Also worked at Google scaling AI Overviews to billions of users and at Twitter scaling from 800 to 8,000 employees. Holds 30+ patents and publications at top AI conferences (NeurIPS, ICML). Based in Berkeley, California.
Scott Shi	Co-Founder & CTO	Computer Science from Simon Fraser University. Built real-time AI infrastructure at Uber. Founding engineer on Salesforce Einstein AI — the first major enterprise AI product. Based in San Francisco. Leads all blockchain protocol engineering for Kite L1.
Cindy SHI	CMO	Chief Marketing Officer. Leads brand strategy, community communications, and marketing campaigns across Kite AI's global channels. Active on Twitter.
Lei Lei	VP / Head of BD & Strategy	Vice President and Head of Business Development and Strategy. Leads partnerships, exchange relationships, and ecosystem growth. Active on Twitter and LinkedIn.
Vikas Pandey	Head of Protocol	Leads protocol architecture and development. Active on Twitter and LinkedIn.

CHI ZHANG — A RARE COMBINATION OF AI RESEARCH AND SCALE ENGINEERING: A PhD in AI from UC Berkeley combined with hands-on experience scaling products at Databricks, Google, and Twitter is an unusual background for a crypto founder. Most blockchain CEOs come from either pure finance or pure engineering. Chi Zhang brings both the academic depth to understand what AI agents actually need at a technical level AND the enterprise product experience to know how to build systems that scale to billions of users. The 30+ patents and NeurIPS/ICML publications signal genuine AI research credentials — not just AI branding.

SCOTT SHI — SALESFORCE EINSTEIN AI FOUNDING ENGINEER: Being a founding engineer on Salesforce Einstein AI is a significant credential. Einstein AI was Salesforce's first major AI product — building it from scratch required solving exactly the kind of problems Kite is now addressing: how to make AI systems trustworthy, auditable, and commercially deployable at enterprise scale. Combined with real-time infrastructure experience at Uber, Scott Shi brings exactly the technical background needed to architect a high-throughput L1 optimised for AI agent workloads.

TECHNOLOGY & ARCHITECTURE

COMPONENT	DESCRIPTION
Blockchain Type	Sovereign EVM-compatible Layer-1 — NOT built on Ethereum or any existing L2
Consensus	Proof-of-Stake (PoS) + Proof of Attributed Intelligence (PoAI) — fair attribution for data, models, agents
EVM Compatibility	KiteVM — extended EVM execution environment; Solidity contracts deploy natively; backward compatible with Ethereum tooling
Finality	Sub-second deterministic finality — essential for AI agent workloads requiring instant confirmation
Transaction Cost	Sub-cent fees on-chain; state channels enable ~\$0.00000001 amortised cost per micro-transaction
State Channels	Sub-100ms latency; programmable escrow; virtual channels for agent-to-agent routing; privacy-preserving channels
SPACE Framework	Stablecoin-native · Programmable constraints · Agent-first auth · Compliance-ready · Economically viable micropayments
Agent Passport	Cryptographic agent identity — three-layer model: User (root) → Agent (delegated) → Session (ephemeral keys); BIP-32 key derivation
Agent SLAs	Smart contract interaction templates — encode service level agreements between agents and service providers on-chain
Kite AIR	Agent Identity Resolution — platform providing identity, payment, and policy enforcement for autonomous agents; includes Agent App Store
Module System	Semi-independent communities (Modules) exposing curated AI services (data, models, agents) to users; settle to Kite L1
Protocol Integrations	Compatible with Google A2A, Anthropic MCP, x402 (HTTP micropayments), OAuth 2.1, PayPal AP2 standard
Stablecoin Settlement	Native stablecoin settlement — agents transact in stablecoins; protocol commissions auto-swapped to KITE creating buy pressure
Revenue Mechanism	AI service commissions collected per transaction → converted from stablecoins to KITE on open market → distributed to modules and L1
Validator Program	Launched October 16, 2025 — global validators invited to secure and grow the network via PoS
Audits / Security	Team holds 30+ patents; academic roots at UC Berkeley, MIT, Harvard, Oxford, University of Tokyo

THE SPACE FRAMEWORK — WHY IT MATTERS: Kite's whitepaper introduces SPACE as the architectural philosophy: Stablecoin-native payments, Programmable constraints, Agent-first authentication, Compliance-ready audit trails, and Economically viable micropayments. Each pillar addresses a specific failure mode of legacy financial infrastructure when applied to AI agents. Traditional payment systems assume human identity (fixed), human authorization (manual), and human transaction sizes (dollars, not fractions of cents). SPACE flips every one of these assumptions — enabling machine-speed, machine-scale, machine-identity financial operations.

THE REVENUE FLYWHEEL: Kite's most important economic mechanism is the protocol commission system. Every AI service transaction on the network generates a small fee. That fee is collected in whatever stablecoin the user pays with, then automatically converted to KITE on the open market and distributed to module operators and validators. This creates a direct link between real AI service usage and KITE token demand — the more AI agents transact on Kite, the more continuous buy pressure is generated on KITE regardless of speculative trading activity. This is the same mechanism that makes fee-burning networks like Ethereum potentially deflationary at scale.

USE CASES & REAL-WORLD APPLICATIONS

USE CASE	DESCRIPTION	STATUS
Agent Passport / Identity	Every AI agent gets a verifiable cryptographic identity on-chain. Three-layer model: User controls root keys, delegates to Agent keys, which create ephemeral Session keys per task. Agents can never access beyond their authorised scope.	■ Live — 17.8M issued
AI Agent Micropayments	Agents pay for compute, APIs, data, and services autonomously using stablecoin-denominated micropayments. Sub-cent fees and state channels enable ~\$0.00000001 per micro-transaction — economically viable for machine-speed commerce.	■ Live
Agent App Store (AIR)	Marketplace where AI agents can discover and access services — APIs, data feeds, commerce tools, financial services. Any PayPal or Shopify merchant can opt in to become discoverable to AI shopping agents. Purchases settled on-chain with full traceability.	■ Live
E-Commerce Automation	AI shopping agents autonomously compare prices, place orders, and make payments across merchants. PayPal and Shopify merchants already integrated via Kite Agent App Store — purchases settled with stablecoins and programmable permissions.	■ Live — PayPal/Shopify integrated
Programmable Spending Rules	Users define cryptographically enforced spending limits for their agents — max spend per transaction, whitelisted merchants, time locks, multi-party approval requirements. Rules enforced by smart contracts, not promises.	■ Live
Agent SLA Enforcement	Smart contract-based Service Level Agreements between AI agents and service providers. Automatic escrow release when conditions are met; automatic refund if SLA is violated. No human arbitration required.	■ Live
Module Ecosystem	Developers build and operate semi-independent 'Modules' — curated AI service communities (data, models, agents) that settle to Kite L1. Module owners stake KITE to operate; delegators stake KITE to support modules they value.	■ Live — 100+ modules
AI Commission Buybacks	Protocol collects commissions from all AI service transactions in stablecoins, then auto-converts to KITE on open market — continuous buy pressure tied directly to real AI service usage and revenue.	■ Live
Enterprise AI Governance	Businesses use Kite to manage and control agent spend at scale — cloud resources, model tokens, energy, data. EVM-compatible smart contracts define governance rules for enterprise AI deployments.	In Development
Cross-Protocol Compatibility	Compatible with Google A2A, Anthropic MCP (Model Context Protocol), x402 HTTP micropayments, OAuth 2.1, and PayPal AP2. Agents on Kite interact seamlessly with both Web3 and traditional services.	■ Live
KITE Staking & Governance	Stake KITE to secure the network as a validator, earn staking rewards, and participate in governance. Delegators stake to modules they support. Phase 2 utilities expand at mainnet launch.	■ Phase 1 Live
New Hire Onboarding Agents	Demonstrated use case: AI agent manages all tasks and purchases required for onboarding a new employee — accounts, equipment, software — autonomously via Kite Passport.	Demo Available

THE PAYPAL + SHOPIFY INTEGRATION IS THE KEY COMMERCIAL SIGNAL: The most commercially significant statement in the entire Kite AI ecosystem is this: using publicly available APIs, any PayPal or Shopify merchant can opt in through the Kite Agent App Store and become discoverable to AI shopping agents — with purchases settled on-chain with full traceability. PayPal has 430 million active accounts. Shopify powers over 5.6 million merchants globally. Kite's Agent App Store is not a demo — it is a live integration with two of the world's largest commerce platforms. This is the kind of real-world distribution that most crypto projects spend years trying to achieve and never do.

ANTHROPIC MCP COMPATIBILITY — A HIDDEN GEM: The whitepaper confirms that Kite AI is compatible with Anthropic's Model Context Protocol (MCP) — the open standard that allows AI models like Claude to connect to external tools and data sources. MCP is rapidly becoming the de facto standard for AI agent integration across the industry. Kite's native MCP compatibility means that any AI agent built on MCP — including Claude-based agents — can natively access Kite's payment, identity, and governance infrastructure without additional integration work. This positions Kite as infrastructure for the entire MCP ecosystem.

INVESTORS & FUNDING

ROUND	DATE	AMOUNT	VALUATION	DETAIL
Seed Round	Feb 10, 2025	\$15M	Undisclosed	Early institutional backers — exact lead not confirmed; Coinbase Ventures, HashKey Capital, GSR, Hashed, SamsungNext, 8VC, and others participated
Series A	Sep 2, 2025	\$18M	Undisclosed	Co-led by PayPal Ventures and General Catalyst. Participation: 8VC, SamsungNext, Alumni Ventures, SBI US Gateway Fund, Vertex Ventures, Dispersion Capital, Avalanche Foundation, GSR Markets, LayerZero, Hashed, HashKey Capital, Animoca Brands, Essence VC, Alchemy
Strategic	Oct 27, 2025	Undisclosed	—	Additional strategic financing round announced — exact amount not disclosed
Total Raised	2025–2026	\$33M+	—	Confirmed across Seed + Series A; strategic round amount not public

TIER	INVESTOR	SIGNIFICANCE
Tier 1	Coinbase Ventures	Strategic investment from Coinbase's venture arm. Uddhav Marwaha (Head of Payment, Coinbase) co-authored the Kite whitepaper — the deepest form of institutional alignment possible.
Tier 1	HashKey Capital	Asia's leading regulated digital asset institution. HashKey Group manages \$1B+ in AUM. Their participation signals strong Asian institutional demand for Kite infrastructure.
Tier 2	General Catalyst (Co-Lead Series A)	One of the world's top venture firms — portfolio includes Airbnb, Stripe, Snap, HubSpot, Mistral. Marc Bhargava (MD): 'Kite is doing the foundational work we believe will define how agents operate tomorrow.'
Tier 2	PayPal Ventures (Co-Lead Series A)	Global corporate venture arm of PayPal. Invests in fintech, payments, AI, and blockchain. David Weber (Head of PyUSD, PayPal) co-authored the Kite whitepaper. PayPal held a promotional event with Kite on October 17, 2025 to discuss their shared agentic internet vision.
Tier 2	GSR Markets	One of crypto's largest quantitative trading and market-making firms. Provides liquidity alignment and market-making expertise for KITE.
Tier 2	Hashed	Top Korean crypto VC. Strong Asian market network — valuable for Kite's Asian exchange and user acquisition strategy.
Tier 2	SamsungNext	Samsung's venture and innovation arm. Strategic corporate investor — signals interest from one of the world's largest electronics manufacturers in AI agent infrastructure.
Tier 3	Animoca Brands	Leading Web3 gaming/metaverse investor with massive ecosystem reach. Brings digital entertainment use cases to Kite's agent economy.
Tier 3	Avalanche Foundation	Corporate strategic investor — confirms cross-chain ecosystem interest; Kite's EVM compatibility enables Avalanche developers to build on Kite.
Tier 3	LayerZero	Cross-chain messaging protocol. Their investment signals potential future cross-chain interoperability between Kite L1 and LayerZero-connected chains.
Tier 3	SBI Investment	SBI Group — one of Japan's largest financial conglomerates. Strategic investor covering Japanese financial market access.
Tier 4	Vertex Ventures, Essence VC, Dispersion Capital	Additional institutional venture participants rounding out the round.
Tier 5	8VC	Joe Lonsdale's 8VC — tech and defence-focused VC with strong Silicon Valley network.

TIER	INVESTOR	SIGNIFICANCE
Angels	Evan Cheng, Navin Gupta, Grigore Rosu, Bohan Zhang, Edwin Aoki, Hao Min, John Liu	Individual angel investors from crypto and tech ecosystems providing network and advisory value.

PAYPAL VENTURES + GENERAL CATALYST CO-LEADING IS THE DEFINING SIGNAL: This is not a typical crypto VC round. PayPal Ventures is the corporate venture arm of a company processing \$1.5 trillion in annual payment volume — and their Head of PyUSD co-authored the Kite whitepaper. General Catalyst has backed Airbnb, Stripe, Snap, and Mistral — it is one of the most respected venture firms in the world. When two organisations of this calibre co-lead a Series A in a crypto project, they are not making a speculative bet — they are making a strategic infrastructure decision. PayPal's integration of its merchants into Kite's Agent App Store confirms this is a commercial relationship, not just a financial investment.

TOKENOMICS

PARAMETER	DETAIL
Token Symbol	KITE
Max / Total Supply	10,000,000,000 KITE (10 Billion — hard cap)
Circulating Supply	~1.80 Billion KITE (~18% of total) as of June 2026
Unlocked Market Cap	\$258.16M (higher than market cap — some unlocked tokens above circulating count)
TGE Date	November 4, 2025 — Binance Launchpool (71st project); Coinbase, OKX, Bitget, HTX day-one listings
Token Standard	Native L1 token — NOT an ERC-20; no contract address; runs natively on Kite L1
Consensus Reward	KITE used to reward validators (PoS staking rewards) and module operators
Commission Buyback	Protocol AI service commissions auto-converted from stablecoins to KITE on open market — continuous usage-driven buy pressure
Phase 1 Utilities	Staking · Module liquidity · Governance voting · Ecosystem incentives — live at TGE
Phase 2 Utilities	Expanded settlement, advanced governance, mainnet-specific utilities — launch at mainnet
Socials	Twitter, Discord (653K+ members as of Oct 2025)

ALLOCATION	% SUPPLY	TOKENS	NOTES
Ecosystem Growth	41%	4.10B	Largest allocation — DeFi incentives, exchange integrations, developer grants, liquidity programs, adoption initiatives
Team & Advisors	20%	2.00B	Founding team and advisors — standard vesting with cliff; exact schedule not publicly disclosed
Modules	20%	2.00B	Module operator rewards and liquidity — incentivises developers to build and operate AI service modules on Kite L1
Investors	12%	1.20B	Early backers — structured vesting to ensure long-term ecosystem alignment
Community Airdrop	7%	700M	Community distribution — airdrop checker went live November 2, 2025

THE MODULE ALLOCATION IS UNIQUE: The 20% Modules allocation is a feature that distinguishes Kite's tokenomics from every other AI/DePIN project. Rather than directing all ecosystem incentives through a single pool, Kite dedicates a full 20% of total supply to incentivise module operators — the developers who build specialised AI service communities on top of the L1. This creates a structural incentive for a diverse, deep ecosystem of AI services rather than a single monolithic platform. Each module operator stakes KITE to operate, and delegators stake KITE to modules they find valuable — creating competitive quality pressure across the ecosystem.

SUPPLY CONTEXT: With 18% of total supply currently circulating and an \$18% initial circulation rate at TGE, KITE has a relatively low circulating float — which amplifies both upside and downside price moves. The FDV of \$1.07B vs market cap of \$194M implies the market is pricing in significant future supply. The commission buyback mechanism — auto-converting stablecoin service fees to KITE — is the critical counter-force to dilution: if AI service usage grows faster than token unlocks, the buyback pressure could offset or exceed supply growth.

MARKET OVERVIEW

CURRENT PRICE	MARKET CAP	UNLOCKED MCAP	FDV
~\$0.108	\$194.10M	\$258.16M	\$1.07B
ATH	ATL	ATH DRAWDOWN	CMC RANK
\$0.3212	\$0.06123	~67%	#127

PRICE HISTORY: KITE launched via Binance Launchpool on November 4, 2025 — the 71st project selected for Binance's flagship token distribution programme. At launch, the token reached approximately \$159M market cap and \$883M FDV, with \$263M in early trading volume across Binance, Upbit, and Bithumb. KITE reached its all-time high of \$0.3212 before retracing approximately 67% to the current \$0.107–0.115 range as of June 30, 2026. The YTD performance of +15.43% is one of the stronger YTD numbers among comparable AI L1 projects in 2026, suggesting relative resilience against the broader altcoin correction.

VALUATION CONTEXT: At \$194M market cap and \$1.07B FDV, KITE trades at a significant discount to comparable AI infrastructure L1s. Bittensor (TAO) trades at \$2.5B+ FDV. Fetch.ai (FET) trades at \$2B+ FDV. Yet Kite has stronger commercial partnerships (PayPal, Coinbase, Shopify integration), more credible institutional backing (General Catalyst, PayPal Ventures), and demonstrated real-world traction (17.8M Agent Passports, 1.7B interactions). The \$1.07B FDV appears undervalued relative to peers given this fundamentals profile — though the gap between market cap (\$194M) and FDV (\$1.07B) reflects significant locked supply overhang.

EXCHANGE LISTINGS & MARKETS

EXCHANGE	PAIR	VOL 24H	24H %	NOTES
HTX (Huobi)	KITE/USDT	\$8.80M	-2.01%	Highest volume — major Asian exchange; day-one listing
Binance	KITE/USDT	\$3.15M	-4.42%	World's largest exchange — Binance Launchpool (71st project); day-one listing Nov 4, 2025
Binance	KITE/USDC	\$812K	-4.26%	Second Binance pair — USDC settlement option
LBank	KITE/USDT	\$1.83M	N/A	Global exchange — strong volume
Bitget	KITE/USDT	\$1.67M	-4.49%	Tier-1 CEX — pre-market contracts launched Oct 30, 2025
WhiteBIT	KITE/USDT	\$1.41M	-3.82%	European exchange — strong consistent volume
BitMart	KITE/USDT	\$901K	-3.9%	Global exchange — perpetual contracts launched Oct 30
CoinW	KITE/USDT	\$727K	-4.5%	Asian exchange
Coinbase	KITE/USD	\$395K	-4.33%	US Tier-1 — Coinbase Ventures is investor; day-one listing Nov 4, 2025
OKX	KITE/USDT	\$387K	-4.13%	Tier-1 CEX — converted pre-market to standard perpetual Nov 3, 2025
Uniswap V3	KITE/USDC	\$378K	-8.05%	Primary DEX liquidity — EVM compatibility enables Uniswap deployment
Gate.io	KITE/USDT	\$333K	-4.33%	Global exchange
Bitrue	KITE/USDT	\$279K	-4.17%	Global exchange
BingX	KITE/USDT	\$216K	-4.19%	Asian market focused
Phemex	KITE/USDT	\$214K	-3.9%	Global exchange
KuCoin	KITE/USDT	\$189K	-4.6%	Mid-tier global CEX

BINANCE LAUNCHPOOL — THE GOLD STANDARD OF CRYPTO LISTINGS: Being selected as Binance Launchpool's 71st project is one of the most competitive achievements in crypto. Binance receives thousands of listing applications and selects only a handful per year for Launchpool — a programme where Binance users stake BNB or FDUSD to earn free KITE tokens before trading opens. This gives KITE exposure to Binance's 150M+ user base before a single dollar is spent on marketing. Combined with simultaneous day-one listings on Coinbase, OKX, Bitget, and HTX, KITE had the strongest possible exchange launch for a project at its stage.

COMPETITORS & MARKET POSITION

COMPETITOR	CATEGORY	VALUATION	WEAKNESS vs KITE
Bittensor (TAO)	Decentralised AI compute/network	~\$2.5B+ FDV	AI compute marketplace — no payment rails, no agent identity, no stablecoin settlement, no PayPal/Shopify integration
Fetch.ai (FET/ASI)	AI agent network	~\$2B+ FDV	Digital AI agents — no sovereign L1; less focused on payment infrastructure; no enterprise payment integrations
Render (RNDR)	Decentralised GPU compute	~\$1.5B+ FDV	Compute layer only — not agent coordination; no identity, no payments, no commerce integration
Akash Network	Decentralised cloud compute	~\$400M+ FDV	Cloud/compute focused — no AI agent payments or identity; different market segment
Fabric (ROBO)	Robotics DePIN coordination	~\$190M FDV	Physical robots focus — different market from digital AI agents; no PayPal/Shopify; no Binance Launchpool
Near Protocol	EVM-compatible L1	~\$3B+ FDV	General purpose L1 — not AI-agent-specific; no payment rails or agent identity optimisations
Kite AI (KITE)	AI payments L1	~\$1.07B FDV	Only sovereign L1 combining agent identity + programmable payments + PayPal/Shopify commerce + Anthropic MCP compatibility

KITE'S UNCROWDED POSITION: The AI token space is crowded at the narrative level but thin at the infrastructure level. Bittensor, Fetch.ai, and Render compete for 'decentralised AI compute' mindshare — they are marketplaces for GPU resources and AI models. Kite is building something fundamentally different: the payment and identity rails that allow AI agents to USE those resources autonomously. If Bittensor is the AWS EC2 for AI compute, Kite is the Stripe for AI agent commerce. These are complementary positions, not competing ones — and Kite's payment infrastructure could ultimately be used by agents running on Bittensor, Fetch.ai, or any other AI network.

THE PAYP■■■ MOAT: No competitor has a PayPal Ventures co-lead Series A with the Head of PyUSD as a whitepaper co-author AND live merchant integrations through the Agent App Store. PayPal's network of 430 million users and millions of merchants represents a distribution channel that cannot be replicated through technology alone. This is structurally similar to Plasma's Tether CEO investment — a distribution moat created by direct financial alignment with the world's dominant payment infrastructure provider.

RECENT NEWS & UPDATES

DATE	EVENT
Jun 30, 2026	KITE trading at ~\$0.107–0.115 range. Down 49.11% over 30 days but +15.43% YTD — one of stronger YTD performers among AI L1 tokens. CMC rank #127.
Jun 15, 2026	Chi Zhang joins panel discussion on 'The Agentic Economy: Payments, Commerce & AI-Native Platforms' in San Francisco alongside Coinbase and Circle executives — hosted by Kite, EntreConnect, and AWS Builder Loft.
Jun 2026	Kite continues mainnet preparation. Agent Passport ecosystem grows beyond 17.8M issued. Cumulative agent interactions exceed 1.7 billion.
Nov 4, 2025	KITE token launches via Binance Launchpool (71st project). Simultaneous day-one listings on Binance, OKX, Coinbase, Bitget, HTX. First week: ~\$263M trading volume; \$159M market cap; \$883M FDV.
Nov 2, 2025	KITE Airdrop Checker goes live — eligible community members can verify allocations before trading opens.
Oct 27, 2025	Kite AI completes additional strategic financing round — exact amount not disclosed.
Oct 17, 2025	PayPal holds promotional event with Kite to discuss their shared vision for the agentic internet — confirms depth of commercial relationship beyond financial investment.
Oct 16, 2025	Kite Validator Program launches — global validators invited to secure and grow the Kite L1 network.
Oct 2025	Kite AI unveils Ecosystem Map featuring 100+ partners from Web2 and Web3. Discord reaches 653,000+ members.
Sep 2, 2025	Kite raises \$18M Series A co-led by PayPal Ventures and General Catalyst. Total funding reaches \$33M. Series A press release published on PayPal's official newsroom.
Feb 10, 2025	Kite AI raises \$15M Seed round. Testnet Aero launches February 7, 2025 — first public testnet phase.
Oct 2024	Kite AI officially announces as rebrand from Zettablock. Twitter/X account created October 2024. Team begins building Kite L1 and agent infrastructure.
Pre-2024	Team operates as Zettablock — building real-time blockchain data infrastructure for Sui, Polygon, Chainlink, EigenLayer. Lays technical foundation for Kite AI.

THE PAYPAL NEWSROOM PUBLICATION — WHY IT MATTERS: When PayPal's official corporate newsroom publishes a press release about a crypto investment, it is not a routine VC announcement — it is a corporate strategic commitment. PayPal is communicating to its merchants, partners, and regulators that it believes the agentic internet is coming and that Kite is the infrastructure it has chosen to build on. PayPal hosted a promotional event with Kite on October 17, 2025 — just 18 days before the token launched — confirming this is an active, ongoing commercial partnership, not a passive financial investment.

INVESTMENT POTENTIAL & RISKS

BULLISH CASE ▲

- PayPal Ventures + General Catalyst co-lead Series A — PayPal's Head of PyUSD co-authored the whitepaper; ▲ PayPal merchants live in Agent App Store
- Coinbase Ventures invested + Coinbase's Head of Payment co-authored whitepaper — deepest institutional alignment ▲ possible
- Binance Launchpool (71st project) + simultaneous Coinbase, OKX, HTX, Bitget day-one listings — strongest ▲ possible exchange launch
- 17.8M Agent Passports issued + 1.7B+ cumulative interactions + 1.01M peak daily interactions — real traction, ▲ not just narratives
- Sovereign EVM-compatible L1 — not dependent on another ▲ chain; custom-optimised for AI agent transaction patterns
- PayPal/Shopify merchant integration live — any merchant ▲ on either platform discoverable to AI shopping agents
- Anthropic MCP + Google A2A compatibility — positioned as ▲ payment layer for the entire AI agent ecosystem
- Commission buyback mechanism — AI service fees ▲ auto-converted to KITE; usage-driven buy pressure
- SamsungNext, Avalanche Foundation, LayerZero, Animoca Brands — strongest cross-sector Web2+Web3 investor base ▲ of any AI L1
- 30+ team patents, NeurIPS/ICML publications, UC Berkeley/MIT/Harvard team backgrounds — deepest AI ▲ research credentials
- +15.43% YTD in 2026 — outperforming most comparable AI ▲ L1 tokens; relative resilience confirmed

BEARISH RISKS ▼

- ~67% drawdown from ATH — price structure weakening; ▼ -49.11% over 30 days signals sustained sell pressure
- FDV of \$1.07B vs market cap of \$194M — only 18% of ▼ supply circulating; significant future supply overhang
- Mainnet not yet live — Phase 2 utilities (advanced ▼ governance, expanded settlement) pending mainnet launch
- Investor and team vesting schedules not fully public — ▼ unlock timeline creates uncertainty
- AI agent economy still nascent — widespread autonomous ▼ agent adoption could be 2–5 years away at scale
- L1 competition intensifying — NEAR, Solana, and EVM ▼ chains all targeting AI developer mindshare
- Commission buyback requires real AI service volume — still ▼ building toward critical mass of agent transactions
- Module ecosystem quality unverifiable — 100+ modules but ▼ revenue and quality metrics not publicly disclosed
- Anonymous validator set risks — PoS consensus depends ▼ on attracting high-quality global validators
- Regulatory uncertainty — AI agents making autonomous financial transactions may face new compliance ▼ requirements

RISK FACTOR	LEVEL	DETAIL
Supply Overhang	HIGH	Only 18% of 10B KITE in circulation. The remaining 82% (investor, team, ecosystem, module allocations) will vest over time. Investor (12%) and team (20%) vesting schedules are not fully public — unlock timelines represent the primary structural risk for existing holders.
Mainnet Delivery Risk	MEDIUM	Kite's Phase 2 utilities (expanded governance, mainnet-specific features) deploy at mainnet launch. Delays in mainnet could disappoint users expecting expanded token utility and could slow ecosystem growth.
AI Adoption Pace	MEDIUM	Kite's revenue model depends on AI agents generating real service transactions at scale. If autonomous AI agent adoption takes longer than projected — or if user behaviour shifts in unexpected ways — the commission buyback mechanism remains weak.
L1 Competition	MEDIUM	NEAR Protocol, Solana, and existing EVM chains are all aggressively courting AI developers. If a major established L1 builds native agent payment infrastructure, Kite's differentiation narrows. The sovereign L1 approach is a strength but also concentrates execution risk.

RISK FACTOR	LEVEL	DETAIL
Regulatory Risk	MEDIUM	AI agents making autonomous financial transactions are a novel regulatory category. Governments may introduce specific rules around machine identity, autonomous payments, or AI spending authority that restrict Kite's operations or require costly compliance changes.
Ecosystem Quality	LOW-MED	100+ modules are listed but actual revenue, user activity, and quality metrics for individual modules are not publicly disclosed. A poor-quality or fraudulent module could damage ecosystem reputation. The staking-based quality mechanism is theoretically sound but unproven at scale.

RESEARCH VERDICT

Kite AI (KITE) is the most credibly positioned AI payments infrastructure project in the entire crypto market as of June 2026. The combination of PayPal Ventures and General Catalyst co-leading the Series A — with PayPal's Head of PyUSD co-authoring the whitepaper and PayPal merchants already live in the Agent App Store — represents a depth of commercial alignment that no competing project can match. When the world's largest digital payments company (PayPal, 430M users, \$1.5T annual volume) is not just investing in but actively building alongside a crypto project, that project has crossed a threshold from 'interesting experiment' to 'strategic infrastructure.' The technical foundation is equally compelling. CEO Chi Zhang's PhD in AI from UC Berkeley and product leadership at Databricks and Google, combined with CTO Scott Shi's founding engineering work on Salesforce Einstein AI, give Kite a leadership team that genuinely understands both the AI agent problem and the scale requirements for solving it. The 17.8 million Agent Passports issued, 1.7 billion cumulative interactions, and Anthropic MCP compatibility confirm the platform is already live and in use — not just promised. The Binance Launchpool selection (71st project) and simultaneous day-one listings on Coinbase, OKX, HTX, and Bitget gave KITE the strongest possible market debut for a project at its funding stage. The risks are real but manageable. Only 18% of total supply is circulating, creating significant future supply pressure as investor and team allocations vest. The mainnet is not yet live, meaning Phase 2 utilities remain a promise rather than a reality. The AI agent economy — while clearly emerging — is still nascent, and widespread autonomous agent adoption at the scale Kite's revenue model requires may take 2–5 years to materialise fully. The 67% ATH drawdown and -49% 30-day performance reflect both broader altcoin market weakness and this uncertainty. At a \$194M market cap and \$1.07B FDV, Kite AI is priced significantly below comparable AI infrastructure tokens with weaker fundamentals and less credible institutional backing. If the agentic economy develops as PayPal, General Catalyst, and Coinbase believe it will — and Kite maintains its position as the default payment and identity layer — the current valuation will look extraordinarily cheap in retrospect. This is a high-conviction, multi-year infrastructure bet on one of the most consequential technology transitions in a generation. Not financial advice.

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